

AI and the Future of FinTech

By Sydney Bahma

Personal Motivation



FinTech bridges business and modern technology



Use of economics background but continuously be challenged to learn new things

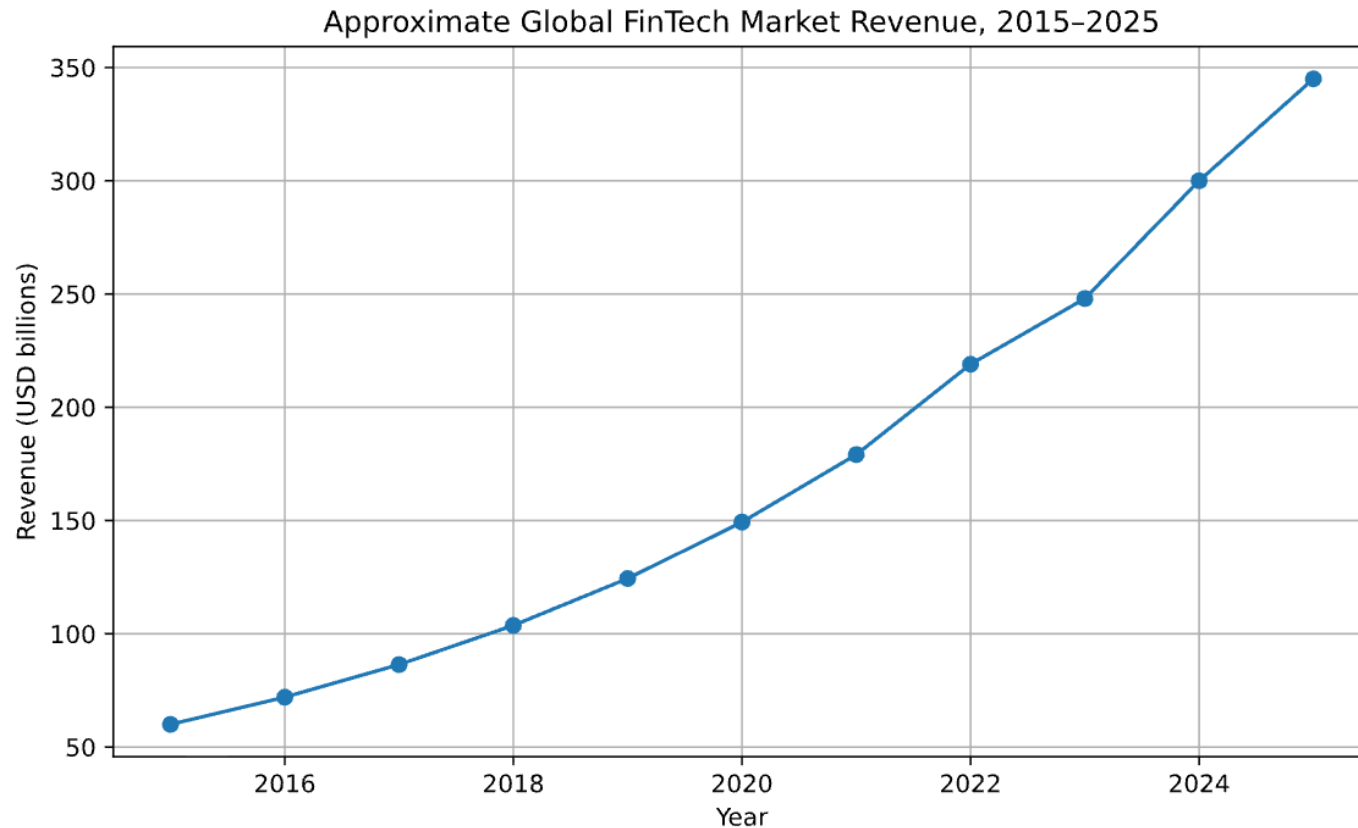


Fast growing industry with great potential

What is FinTech?

- NAICS 522320
- Financial Transactions Processing, Reserve, and Clearinghouse Activities ~ digital payments, reserve and liquidity, and clearing services
- Market consists of core large players and thousands of small innovative startups
- Key players:
 - Visa, Mastercard, Fiserv, FIS, Stripe, PayPal, Venmo

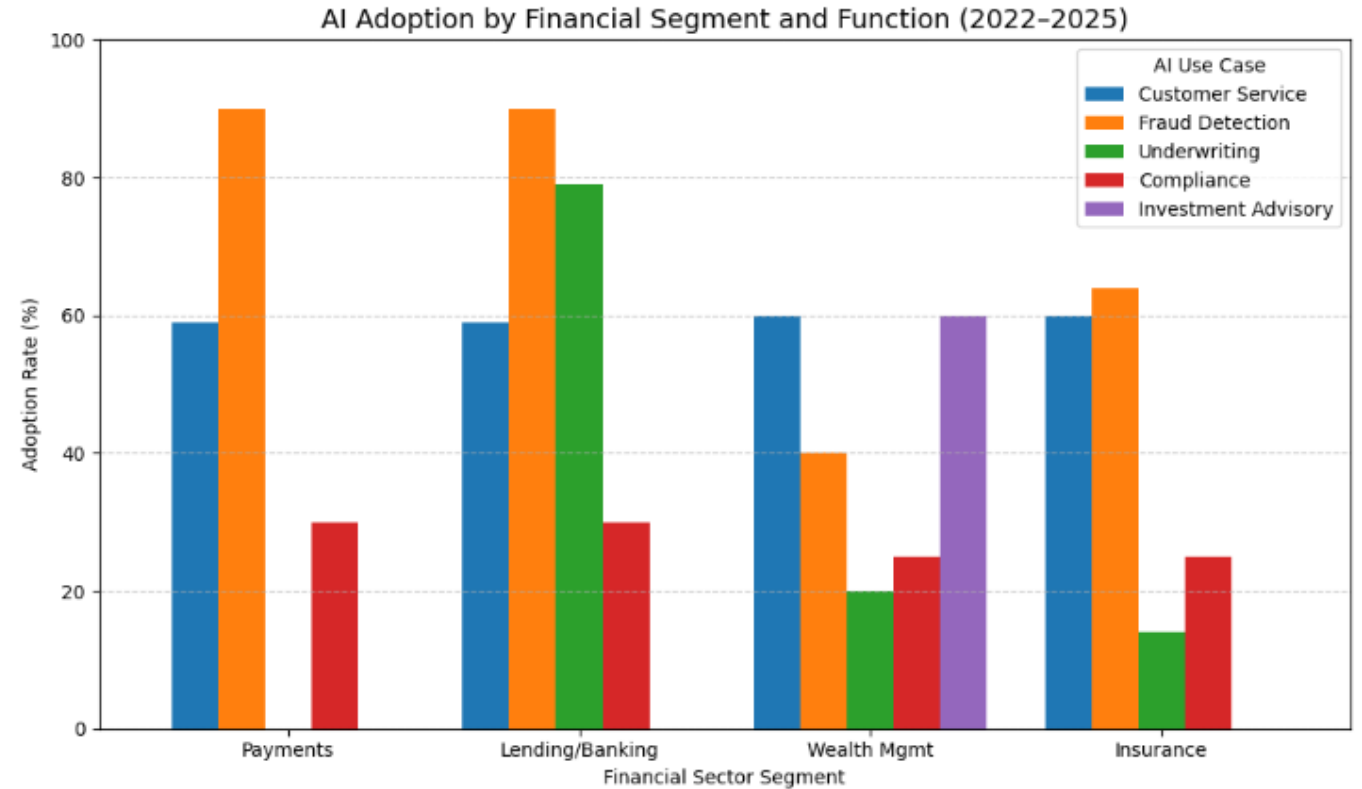
Industry Lifecycle & Growth



- Growing industry approaching gradual maturation
- Revenues are consistently expanding
- Prioritizing profitability and operational discipline

Gen AI's Impacts

- Deeply embedded in the production process of FinTech
- AI adoption highest in fraud detection and customer service
- Applying a trained AI model allows companies to increase profitability and economies of scale



Transformation of Jobs and Competition

- AI is reshaping task composition of jobs in this industry
- Firms increasingly demand hybrid skill sets
 - Combination of finance and technical skills
- Increasing market concentration

Personal Opportunity

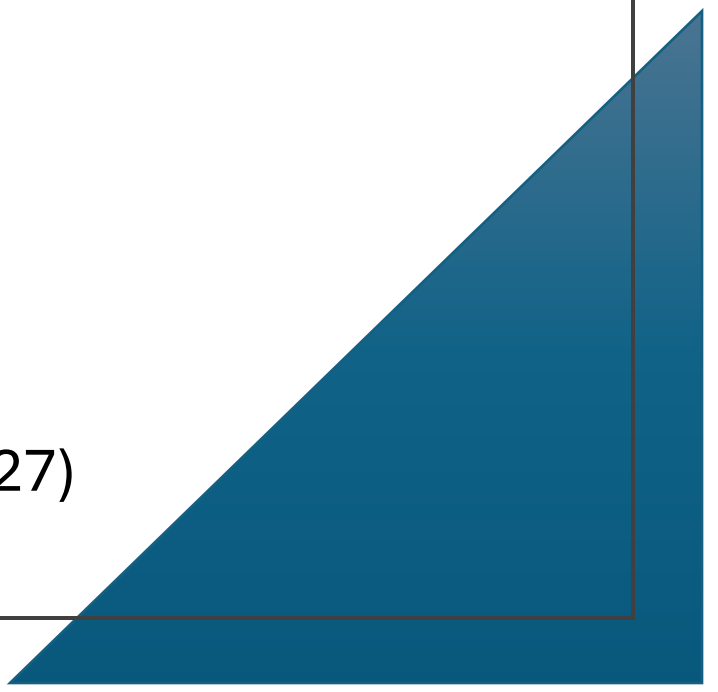
****Analytics Driven Product Manager**

- Uses data to guide product development
- Bridges business, financial analysis, and technological product design
- Focus on collaborative teamwork

Financial Analyst

Model Risk Manager

Upskilling Plan

- Teach myself Python or take online classes to become proficient (by May '27)
 - Read at least 3 academic or industry papers about AI modeling (by August '26)
 - Use R and Tableau in my master's degree whenever applicable
 - Earn a certificate in finance through UMASS (by May '27)
- 

Reflection



Learned that AI use requires providing significant context and clear guidelines, and that all output must be verified



Broadened understanding of the state of the current job market, and that I will likely work closely with AI



Discovered that furthering my education in computer science and AI modeling could ensure success in the job market

Ownership and AI Use

- Found sources, generated initial draft and slide outline
- Personally checked all sources
- Read over entire document
- Formatted and wrote slides
- Prompted AI to code website